

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST

COMPLAINANTS,

v.

APS EAST COAST, INC.

RESPONDENT.

RESPONDENT'S OPPOSITION BRIEF

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TABLE OF CONTENTS

<i>I. INTRODUCTION.....</i>	<i>5</i>
<i>II. SUMMARY OF FACTS.....</i>	<i>7</i>
<i>III. PORTS AMERICA HAS FAILED TO ESTABLISH A PRIMA FACIE</i>	<i>12</i>
a. The Burden of Proof in Shipping Act Complaints: Persuasion vs Production	12
b. The Prima Facie Case Requirement – Step one: Impact on the Relevant Market.....	13
c. Complainants have made no showing of a prima facie case.....	15
d. The Relevant Market is the Port of Baltimore.....	19
e. The issues raised in the matter have been conclusively determined in earlier precedents	20
<i>IV. COMMERCIAL DECISIONS ARE ENTITLED TO DEFERENCE</i>	<i>22</i>
<i>V. DISCUSSION OF COUNT I - Alleged Violations of 46 U.S.C. § 41106(2): Unreasonable Preference, Prejudice, or Disadvantage.</i>	<i>25</i>
<i>VI. DISCUSSION OF COUNT II – Alleged Violations of 46 U.S.C. §41102(c) Unreasonable Practices</i>	<i>29</i>
a. Allegations concerning the access fees charged for non-preferred stevedores	29
b. Allegations concerning the updated “universal” access fees charged for stevedores engaging in commercial activities on the terminals	33
<i>VII. DISCUSSION OF COUNT III – Allegation of Unreasonable Refusal to Deal (46 U.S.C. § 41106(3))</i>	<i>34</i>
<i>VIII. DISCUSSION OF PORTS AMERICA’S CLAIM OF CAUSATION AND INJURY... </i>	<i>37</i>
a. The Commission does not have jurisdiction over Ports America’s Claim for Lost Business	37
b. Applicable Law of Reparations	38
c. Analysis of Ports America’s Claim of Lost Business	40
<i>IX. CONCLUSION.....</i>	<i>44</i>

TABLE OF AUTHORITIES

Cases

<i>All Marine Moorings, Inc. v. ITO Corp. of Baltimore</i> , 1996 WL 264720 (FMC, May 15, 1996)	passim
<i>Ceres Marine Terminal, Inc. v. Maryland Port Administration</i> , Dkt. No. 94-01, 1997 WL 35281266 (FMC, Oct. 10, 1997)	27, 32, 46
<i>Ceres Marine Terminals, Inc. v. Maryland Port Admin.</i> , 29 S.R.R. 356 (FMC 2001)	24
<i>Crocus Investments, LLC v. Marine Transport Logistics, Inc.</i> , Dkt. No. 15-04, 2021 WL 3732849 (FMC, Aug. 18, 2021)	14
<i>Distribution Services., Ltd. v. Trans-Pacific Freight Conference of Japan and its Member Lines</i> , 1988 WL 340659 (F.M.C. 1988)	26, 28
<i>James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.</i> , Dkt. No. 94-32, Doc. 168 (FMC, August 26, 2003)	41, 44
<i>Kobel v. Hapag-Lloyd.</i> , Dkt. No. 10-06, 2014 WL 25316331 (FMC July 30, 2014)	40
<i>Louis Dreyfus Corp. v. Plaquemines Port, Harbor and Terminal Dist.</i> FMC Dkt. No. 79-45, 25 F.M.C. 59 (FMC, July 30, 1982)	18
<i>Macklin v. Robert Logan Assocs.</i> , 334 Md. 287 (1994)	40
<i>Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.</i> , Dkt. No. 08-03, 2014 WL 9966245 (FMC Dec. 17, 2014)	14, 24
<i>Maher Terminals, LLC v. The Port Authority of New York and New Jersey</i> , Dkt. No. 08-03 (FMC, October 26, 2016)	29
<i>Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC</i> , Dkt. No. 11-11, 2013 WL 9808672 (ALJ, Jan. 10, 2013)	passim
<i>Mar-Mol Co. and Copycorp v. Sea-Land Service, Inc.</i> , Dkt. No. 95-11, 1996 WL 734232 (ALJ, Dec. 12, 1996)	19
<i>Mavl Capital Inc. Et Al., Complainants, v. Marine Transport Logistics, Inc. Et Al., Respondents</i> , 2022 WL 2209421 (F.M.C. 2022)	39
<i>MAVL Capital Inc. v. Marine Transport Logistics, Inc.</i> , 3 F.M.C. 2d 135 (F.M.C. 2021)	40
<i>Perkins v. Lukens Steel Co.</i> , 310 U.S. 113 (1940)	25, 32
<i>Petchem, Inc. v. Federal Maritime Commission</i> , 853 F.2d 958 (D.C. Cir. 1988)	25
<i>Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm'n</i> , 838 F.2d 536 (D.C. Cir. 1988)	18
<i>Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey</i> , Dkt. No. 17-07, 1 F.M.C. 2d, 35 (ALJ, April 17, 2018)	25, 36
<i>River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation</i> , Dkt. 96-06, 1999 WL 125991 (FMC, Feb. 3, 1999)	passim
<i>Santa Fe Discount Parking v. Board of Trustees</i> , 3 F.M.C.2d, 59, Dkt. No. 14-06 (FMC, April 16, 2021)	14, 25
<i>Sec. & Exch. Comm'n v. Jarkesy</i> , No. 22-859, 2024 WL 3187811 (U.S. June 27, 2024)	8, 39
<i>Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission</i> , 390 U.S. 261 (1968)	16, 17

Statutes

46 U.S.C. § 41102(c)	15, 30, 45
46 U.S.C. § 41106(2)	passim
46 U.S.C. § 41106(3)	14, 35, 37
46 U.S.C. § 41305(b)	39
5 U.S.C. § 556(d)	13

Other Authorities

Fed. R. Evid. 803, Advisory Comm. Notes	42
Fed. R. Evid. 901(b)(1)	42
Fed. R. Evid. Art. VIII	42

Regulations

46 C.F.R. § 502.203	13
46 C.F.R. § 525.3(e)	34
46 CFR § 502.204(a)	42

APS East Coast Inc (“APS” or “Respondent”) submits its Opposition Brief in response to the Brief submitted by Complainants Ports America Chesapeake LLC (“PAC”) and Marine Terminals Corporation East (“MTCE”, collectively referred to hereafter as “Ports America” or “Complainants”) (Doc. No. 32). Respondent’s Response to Complainants’ Proposed Findings of Fact, Respondent’s Proposed Findings of Fact (“RPFF”) and Respondent’s Appendix (“RX”) are being submitted concurrently.

I. INTRODUCTION

APS is an automotive processor that operates a terminal in the Port of Baltimore. Complainants are two intertwined subsidiaries of Ports America, a massive terminal operator and stevedore operating at nine terminals in the Port of Baltimore, including its exclusive operations at the Seagirt Marine Terminal. Ports America, a national as well as local “Goliath,” has brought several claims against APS seeking to compel it to allow Ports America to use its terminal for free, while at the same time exercising its own monopoly over the largest terminal in the Port of Baltimore. Ports America has concocted claims against APS for practices that are in fact permissible under the Shipping Act, and seeks “reparations” for damages that don’t exist and have not been proven. Indeed, the practices of APS are more reasonable and permissive than Complainants’ own practices at Seagirt Marine Terminal, also situated in the Port of Baltimore.

APS is a small terminal operator in the Port of Baltimore which services a number of customers and is a small company compared to the whole of the Ports America entity¹ that has

¹ Commissioners Federal Maritime Commissioners Carl W. Bentzel and Louis E. Sola wrote Secretary Janet L. Yellen on November 5, 2021, regarding their concern over the potential investment proposed by the Canada Pension Plan Investment Board to acquire 100% ownership of Ports America, in particular because “Ports America is the largest terminal operator in North America, with diversified operations across the country, including 70 locations in 33 ports on each of this Nation’s coasts. The company is reported to annually handle 13.4 million twenty-foot equivalent units (TEUs), including 10 million tons of general cargo, 2.5 million vehicles and 1.7 million cruise ship passengers.”, *Letter of Commissioners Carl Bentzel and Louis Sola to Secretary Janet Yellen*, Posted November 12, 2021, Available at <https://web.archive.org/web/20231130052417/https://fmc2.fmc.gov/letter-of-commissioners-carl-bentzel-and-louis-sola-to-secretary-janet-yellen/>

instituted this proceeding, not for actual violations of the Shipping Act, but rather as a way to avoid the payment of legitimately instituted, evenly applied, fees for the use of APS' privately owned and operated terminal. Indeed, the logical extreme of Ports America's argument and actions appears to be that it is entitled to a "free ride," obligated to pay nothing for the use of APS' private terminal. It's actions and attitude are those of a "Goliath," seeking to squash the "David" that is APS in the Port of Baltimore

Ports America's Complaint at its core is meant to paper over the reputational deficiencies that it has in the Port of Baltimore amongst its peers, and use the power of Federal Maritime Commission (the "Commission") to force other companies in the Port of Baltimore to do business with Ports America when they would otherwise decide not to do so. Moreover, Ports America pursues its argument here before the Commission knowing full well that its Ports America Chesapeake entity has benefitted enormously from its position as the *exclusive* stevedore at a neighboring terminal in the Port of Baltimore; an exclusivity permitted and upheld by the Commission even when the opposing party was able to prove the relevant market and knock-on effects on competition, as well as the economic harm suffered as a result of Ports America's actions. Accordingly, for the Commission to now permit Ports America's behavior here would be contrary to the purpose of the Shipping Act, far beyond the Commission's precedents, and would chill modernization and efficiency efforts at terminals across the country.

As shown more fully below, Ports America's Complaint and its accompanying Opening Brief, while lengthy and convoluted, is in sum ultimately a complaint about fees that Ports America has incurred but not paid, and that it did not attempt to negotiate or resolve, dressed up as a Shipping Act Complaint. At the end of its Brief, Ports America makes the argument that it should be entitled to monetary damages, which it frames as "reparations," which Ports America

has not authenticated or proven, and about which Respondent has had no meaningful opportunity to probe or question. By framing the damages as “reparations,” Ports America attempts to maintain a charade that its Complaint against APS is something other than a brazen bullying tactic meant to offset or even totally avoid the fees that Ports America owes APS.

Further, Ports America’s effort to shoehorn an ill-founded common law claim of tortious interference with business into a Shipping Act Complaint is an obvious attempt to mislead the Commission into an unconstitutional adjudication well outside its jurisdiction. As clarified in the Supreme Court’s decision in *Sec. & Exch. Comm’n v. Jarkesy*, No. 22-859, 2024 WL 3187811 (U.S. June 27, 2024), Congress, and by extension the congressionally-created federal agencies such as Federal Maritime Commission, may not “withdraw from judicial cognizance any matter which, from its nature, is the subject of a suit at the common law, or in equity, or admiralty.” *Id.* at *13. In accordance with that ruling, the Commission does not have jurisdiction over Ports America’s lost business claims, notwithstanding the framing of such claims as “reparations.”

Even in the event that the Commission were to conclude that it had jurisdiction over such claims, they would still fail as Ports America has not even asserted, much less proven, that its business partners could not use an alternative terminal. Likewise, Ports America has failed to provide any substantive evidence with respect to its claimed lost profit estimates, and has failed to take any steps to mitigate its claimed losses from APS’ access fee; a fee that Ports America hasn’t paid and which has accorded it an economic benefit over its competitors.

Accordingly, we urge the ALJ to review the applicable law and facts further outlined below and find in favor of APS.

II. SUMMARY OF FACTS

APS owns and operates the Atlantic and Chesapeake Terminals in the Port of Baltimore [RPFF No. 11]. In December of 2021, APS began contemplating the use of a preferred or exclusive stevedore to supplement its business and increase efficiency at its terminals [CPFF No. 27 & 28; RPFF No. 13].

Discussions were had with several of stevedoring companies in the Baltimore area regarding the possibility of entering into an agreement for such a venture. None of those discussions were immediately successful. However, APS still intended to pursue an arrangement to increase its profitability with respect to the stevedoring operations. In January 2022, APS began discussing additional methods to increase its profitability and considered a number of alternatives, including the use of a preferred stevedoring program at its privately owned terminals, following the same model used by other terminals, including those operated by PAC [RPFF No. 12]. A number of stevedore companies were considered as potential partners, including Ceres, Pasha, Red Hook, APS Stevedoring, and Ports America [RPFF No. 14]. Corporate acquisitions and the concept of providing the stevedoring operations in-house were also considered. [RPFF No. 15]

In the course of evaluating potential partners, APS had discussions with various stakeholders in the Port of Baltimore, and also considered its own experience in working with various stevedoring entities. As a result of those considerations, APS decided to not include Ports America in the RFQ list of invited bidders because its reputation for safety and efficiency in the Port of Baltimore, as well as its reputation as a commercial partner, was deemed to be inadequate for inclusion in the RFQ [RPFF No. 16].

In March of 2022, APS sent out a Request for Quote (“RFQ”) to a number of stevedoring companies in the Baltimore region, including Red Hook Terminals, Ceres, SSA Marine, and APS

Stevedoring [CPFF No. 40; RPFF No. 20]. That RFQ invited those companies to bid on the stevedoring work at the Atlantic and Chesapeake facilities in Baltimore MD. [RPFF No. 21]. APS provided vehicle volumes for vehicles for 2021 and expected vehicle volumes for 2022. [RPFF No. 21]. The RFQ proposed a per unit fee to be paid to APS/AMPORTS monthly in consideration for the partnership and requested that those invited companies provide a per unit figure that it would pay to APS. [RPFF No. 21] The RFQ requested that completed bids be returned by March 25th 2022.[RPFF No. 21]

APS continued its negotiations with those invited bidders, narrowing down the decision to two final submissions, ultimately reaching an agreement for the Baltimore terminals signed with Ceres on October 25, 2022 [RPFF No. 22]. In addition to the financial provisions, the agreement included additional beneficial requirements of Ceres, including insurance, indemnification, and dispute resolution terms. [RPFF No. 23] APS reached a similar agreement with a stevedore for its Benecia, California terminal.

Once negotiations were complete, APS announced the new partnerships at its Baltimore and Benecia, CA facilities to the carriers that frequented those terminals, and included the two stevedoring companies which were selected as its stevedoring partners. [RPFF No. 24] That email and the letter attachment was sent out on November 1, 2022 at 2:34pm ET. [RPFF No. 25] Ports America was made aware of the announcement less than two hours later [RPFF No. 26]

The intention and commercial purpose of APS in partnering with stevedoring companies was to help expedite cargo through its terminal “even faster, safer, and with higher quality than ever before.” [RPFF No. 27] The idea was to establish a commercial framework to facilitate the planning of ground operations to shorten drive times and expedite vessel operations, and thereby improve safety, efficiency, and profitability. [RPFF No. 28] In its announcement, APS noted

that its preferred stevedoring partners would be the only ones licensed to perform stevedoring work at its facility, but that if its ocean carrier customers nonetheless desired to use a non-preferred stevedore, that non-preferred stevedore would be required to pay \$25.00 per unit fee to enter APS' facility. [RPFF No. 29]

This announcement received some inquiries, by phone, as well as by letters [CPFF No. 96; RPFF No. 30] and APS responded accordingly. Of note is Ports America's letter dated December 6, 2022 which demanded a rescission of APS' actions as well as a cease and desist, or in the alternative, an offer to make equivalent terms available to PAC and MTCE and to agree to meet to negotiate such an agreement and terms [RPFF No. 31].

APS initially responded to Ports America's letter on December 29, 2022, advising Ports America that it would suspend the collection, but not the assessment, of the \$25 per unit fee. [RPFF No. 32] APS then responded substantively on March 31, 2023 explaining to Ports America that as a non-preferred stevedore accessing its facility, Ports America, would be responsible for the \$25 fee. [RPFF No. 33] APS noted that terminal productivity is a critical feature that carriers consider when reviewing and selecting terminals, and that the marine terminal industry was one that required innovation to stay afloat. In light of the fact that carriers have the option to take their business to other terminals or ports, fixed shoreside entities must continually improve their productivity and efficiency to remain competitive in the market. [RPFF No. 34] APS had concluded that a preferred stevedore at its terminal would offer a business advantage in terms of revenue and efficiency [RPFF No. 34].

However, APS also noted that it wished to continue and support its commercial relationships with Ports America and MTCE, and stated that it would be reviewing and evaluating its relationships with its preferred stevedore providers and the resulting efficiencies on

an ongoing basis. APS went on to state that if Ports America or MTCE were interested in bidding to be AMPORTS' preferred stevedore provider in the future, AMPORTS' would welcome seeing PAC and MTCE's safety records and any efficiency metrics available. [RPFF No. 35]

On April 7, 2022 Ports America notified at least two of its customers by letter that APS intended to continue its intention of seeking the \$25 per unit fee for stevedoring and stated that while Ports America was considering its options, it recognized that "in the interim, Ports America will be required to pay the fee" [RPFF No. 37]. Those customer-directed letters further requested that the customer agree and confirm in writing to accept the \$25 fee as a pass-through charge from Ports America. [RPFF No. 38] Ports America concluded those customer letters by stating that failure to accept the pass-through charge meant that Ports America would not be able to provide services on APS' owned property in Baltimore. [RPFF No. 39]

Significantly, Ports America recognized that it could, and did, provide stevedoring services at other terminals in the Port of Baltimore, and thus was not limited in performing stevedoring work, ro/ro or otherwise, in the Port of Baltimore. [RPFF Nos. 1, 2, 3, 4, 10] While one customer declined to accept the pass-through charge, another was willing to negotiate with respect to the fee. [RPFF No. 40]

Ultimately, Ports America did not pass through the fee to its customers, or pay the fee to APS because they did not "feel that it was a fair assessment." [RPFF Nos. 41 & 42; CX_01000] Ports America thereby operated at a competitive advantage compared to the preferred stevedore Ceres, who did budget and ultimately pay the entire preferred stevedore fee for the work it performed at APS's terminal. [RPFF No. 43].

On April 13, 2022 Ports America wrote to APS by letter and reiterated its position with respect to its request and analysis of APS' actions and stated that APS should contact Ports America's counsel if further discussion was desired. [RPFF No. 44] On June 2, 2023, Ports America filed its Complaint before the Commission [Doc. No. 01]

While not relevant to the Complaint, Complainant's Brief raises the issue of changes in Respondent's tariff during the month of May 2024. This argument reveals Complainant's true motive with respect to the instant matter. When APS took steps, in light of the current matter and the recent re-opening of the channel into the Port of Baltimore, to revise its stance on terminal access for stevedores and institute a uniform per-unit access fee applicable to all stevedores who meet the requirements laid out in Respondent's tariff, incorporating nearly identical requirements laid out in its preferred stevedore agreement and matching the exact request by Ports America in their initial letter [CX_01382] -- Ports America continues to argue that such a change and its applicable fee, is unreasonable and excessive. Clearly, any fee unaccompanied by an explanation and specific internal business allocations sufficient to meet Ports America's subjective standards is unreasonable and excessive to Ports America. As Ports America notes in its Brief, there is no notice requirement for Marine Terminal Operator Schedules. Accordingly, its demand of advanced notice is without support and overreaches.

III. PORTS AMERICA HAS FAILED TO ESTABLISH A PRIMA FACIE CASE

a. The Burden of Proof in Shipping Act Complaints: Persuasion vs Production

The burden of proof to prevail in a proceeding to enforce the Shipping Act is a preponderance of the evidence standard. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). As has been well-established by the Commission, this means that Complainants

Ports America bears the burden of proving that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *3-4 (FMC, Aug. 18, 2021) (Order Affirming Initial Decision on Remand).

Further, in a Shipping Act case the burden of production begins with the Complainant, who must make out a *prima facie* case. If so made, the burden of production then shifts to the Respondent, who would then need to point to evidence that justifies its challenged conduct. *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, Dkt. 96-06, 1999 WL 125991, at *23 (FMC, Feb. 3, 1999).

Regardless of the shifting burden of production, the Complainant at all times retains the burden of persuasion and proving its allegations. *Santa Fe Discount Parking v. Board of Trustees*, 3 F.M.C.2d, 59, 68 Dkt. No. 14-06 (FMC, April 16, 2021). See also *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672, at *31 (ALJ, Jan. 10, 2013).

However, if the Complainant fails to make out its *prima facie* case, there is no shift of the burden of production, and no corresponding need for Respondent to justify the practices in question and the inquiry into the matter ends there. *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, Dkt. 96-06, 1999 WL 125991, at *23 (FMC, Feb. 3, 1999).

In practical terms, this means that Ports America must first establish its initial, *prima facie* case of unreasonable conduct with respect to APS' actions. This they have clearly failed to do.

b. The Prima Facie Case Requirement – Step one: Impact on the Relevant Market

For a Complainant to meet its *prima facie* case of unreasonable conduct and shift the burden of production to Respondent and thus require Respondent to justify its actions,

Complainant must first show that that Respondent's actions have more than a *de minimus* effect on the relevant market. See, e.g., *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, 1999 WL 125991, at *24, Docket No. 96-06 (FMC, Feb. 3, 1999) ("before requiring a terminal operator to justify its business decision, there must be a showing of something more than an effect on a relatively tiny portion of the relevant market ..."); *All Marine Moorings, Inc. v. Ito Corp. of Baltimore*, 1996 WL 264720, at *10 (FMC, May 15, 1996) ("if there is no showing in the first place of a monopoly or something akin to a monopoly or an inadequate level of competition, there is no automatic requirement of justification ..."); *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, 2013 WL 9808672, Docket No. 11-11 (ALJ, Jan. 10, 2013).

In *Marine Repair Services*, the Complainant complained that Ports America Chesapeake, L.L.C. ("PAC," the Complainant in the instant case) was giving undue and unreasonable preference to itself and another entity with regard to the performance of various services at Seagirt Marine Terminal and Dundalk Marine Terminal in the Port of Baltimore, in alleged violation of 46 U.S.C. § 41106(2), and further alleged that PAC was also violating 46 U.S.C. § 41106(3) by an unreasonable refusal to deal. *Marine Repair Services*, supra at *1. In laying out the controlling law, the ALJ noted that each of the parties had cited cases such as *All Marine Moorings*, supra, and *River Parishes* and their progeny. *Id.* at *31. The ALJ went on to point out that:

The common thread in both *All Marine* and *RIVCO* is that, in evaluating the legality of exclusive arrangements, the Commission must first determine the relevant market and then assess the effect of the respondent's practices on competition in that market. If the practices do not have a significant effect on competition, the respondent need not justify its practices and the inquiry is at an end.

Id.

c. Complainants have made no showing of a prima facie case

Here, Complainants have utterly ignored the threshold requirement of a *prima facie* case, with which they were clearly well aware given their successful defense against the Marine Repair Services claims. They fail to provide any evidence in support of that requirement – indeed, they completely fail to even address it in their Brief. For that reason, Complainants’ case must fail at the outset.

Instead of even attempting to establish a *prima facie* case, Complainants simply skip over it. Complaints cite to *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission*, 390 U.S. 261 (1968) for the proposition that a marine terminal operator charge must be reasonably related to the service rendered. That is not exactly what the case actually said – rather the Court noted in dicta that the question under Section 17 of the Shipping Act (current 46 U.S.C. § 41102(c)) is “whether the correlation of [the claimed] benefit to the charges imposed is reasonable.” *Id.* at 282. In any event, however, Complainants have failed to address the point that the Court in that case, as well as the Commission in cases since, require that a complainant must first establish a *prima facie* case by proving more than a *de minimis* impact on commerce. *Id.* at 277. Only after finding that requirement to have been met did the Court proceed with its analysis regarding the case, reaching the conclusion that agreement at issue was required to be filed under the Shipping Act. *Id.*

In the *Volkswagenwerk* case, the Supreme Court found that petitioner was required to establish a larger market effect and something beyond minimal impact, prior to having Complainant justify its actions. In assessing a mechanization and motorization fund, the Court held that an agreement which was intended to raise \$29,000,000 over five years and which bound all principal carriers, stevedoring contractors, and terminal operators on the Pacific Coast

was “neither *de minimus* nor routine,” meeting the *prima facie* case requirement of market impact. *Id.*

By contrast, Ports America has failed to establish that the imposition of a preferred stevedore program at a terminal in the Port of Baltimore had any meaningful impact on competition in the relevant market. Complainants did not even address the issue. That omission, however, is fatal.

The reason for avoiding the topic are self-evident. Ports America operates all across the United States, including all along the East Coast, West Coast, and Gulf Coast. [RPFF No. 63] They operate at nearly every terminal in the Port of Baltimore, inclusive of every terminal which performs auto ro/ro stevedoring, and prohibit any other stevedore from operating in any capacity, at its controlled terminal in the Port, Seagirt [RPFF Nos. 1, 2, 3, 4, 61, 62, & 63]. Because of Complainants’ market dominance in the United States, particularly in the Port of Baltimore, and as evidenced by Ports America’s continued use of the terminal, the commercial decision by APS to implement a preferred stevedore program at its terminal clearly did not have any impact on the relevant market, much less anything in the realm of a *de minimus* impact.

Complainants cite *Louis Dreyfus Corp. v. Plaquemines Port, Harbor and Terminal Dist.* FMC Dkt. No. 79-45, 25 F.M.C. 59 (FMC, July 30, 1982), for the contention that terminal charges must bear a reasonable relationship to the comparative benefit obtained. However, that case does not bear the weight that Complainants would place upon it.

As relevant here, Complainants overlook that before undertaking an analysis of the reasonableness of the challenged fees, the Commission first required the Complainants to meet their initial *prima facie* burden before shifting the burden of production to Respondent. *Id.* at 66-67.

The Commission decision cited by Complainants was an early decision in a series of disputes concerning the establishment by the Plaquemines Port, Harbor and Terminal District of a tariff imposing a harbor fee on all commercial cargo vessels which dock, moor, or anchor within the Port. The Port consists of approximately the first 100 miles of the Mississippi River from its mouth in the Gulf of Mexico and is coextensive with the Parish of Plaquemines in the State of Louisiana. The initial challenge to the fee was settled, and the tariff was updated, but was challenged again. The matter was ultimately appealed to the United States Court of Appeals for the District of Columbia Circuit, which concurred with the Commission that the fee imposed by the tariff was reasonable, but the exemptions permitted were discriminatory. *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm'n*, 838 F.2d 536 (D.C. Cir. 1988).

In the cited decision by the Commission, the Commission had applied the well-established requirement that the Complainants were required to first make a *prima facie* showing of undue preference and prejudice before shifting the burden to the Port to justify the challenged exemptions. *Id.* at *68. The Court noted that the Complainants has established that the Commission had jurisdiction because of the port's *exclusive control over the whole of the relevant market*. *Plaquemines, supra*, 25 F.M.C. at 66-67. (emphasis added)

Equally off-base is Complainant's inaccurate reference to *Mar-Mol Co. and Copycorp v. Sea-Land Service, Inc.*, Dkt. No. 95-11, 1996 WL 734232 (ALJ, Dec. 12, 1996), to which Complainants refer for the premise that a "a charge on one class of user for general benefits that accrue to a business as a whole" is unreasonable. However, the case simply does not say that. The *Mar-Mol* case concerned a "phantom License tax" imposed by a carrier, Sea-Land, represented to shippers to be required by Puerto Rico law, when in fact the law referred to by

Sea-Land did not apply, and the basis stated by Sea-Land for the charge “was a brazen untruth.” *Id.* at *29.

Notably, Complainants ignore the Commission’s process for the step-by-step analysis of marine terminals practices as laid out in *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, Dkt. No. 96-06, 1999 WL 125991 (FMC, Feb. 3, 1999). There, the Commission, affirming the ALJ’s interpretation and application of *All Marine Moorings v. ITO Corp. of Baltimore*, 27 S.R.R. 539 (1996), held that before requiring a terminal operator to justify its business decision, Complainants must show something more than an effect on a “relatively tiny portion of the relevant market occupied by the respondent terminal operator and the minimal impact on the complaining [competitor] resulting from its exclusion from the one terminal in the entire Port.” *River Parishes* at 1999 WL 125991 at *24 (citing *All Marine Moorings*). Ports America has completely failed to meet their burden to do so in this case.

All Marine Moorings, Inc. v. ITO Corp. of Baltimore, 1996 WL 264720, Dkt No. 94-10 (FMC, May 15, 1996) is particularly instructive. The case concerned a complaint by All Marine that ITO (which became P&O Ports North America, which later became Ports America, the Complainant in this matter), the operator of the marine terminal at South Locust Point in the Port of Baltimore, had taken line-handling services in-house and excluded All Marine from competing for customers at that terminal. *Id.* at *2. That scenario closely parallels the issue in this present dispute.

ALJ Norman D. Kline dismissed its Complaint against ITO, concluding:

[C]onsidering that I.T.O. has nowhere near a monopoly at the Port, All Marine has probably not made out a prima facie case of unreasonableness and has not shifted the burden onto I.T.O. to justify I.T.O.'s decision to enter the line handling business in the Port.... Moreover, the fact that I.T.O. decided to enter the line handling business at South Locust Point under its lease is not prima facie

unreasonable. I.T.O. needs no permission under the Shipping Acts to make such a business decision.

Id. at 3.

Dispensing with *All Marine*'s exceptions to the Initial Decision, the Commission held:

We differ with the I.D. on one point which does not seriously detract from the decision's bottom line: the ALJ's conclusion that All Marine had not made a prima facie case of unreasonableness, requiring ITO to justify its practice, need not be modified by the word "probably," I.D. at 47. The Initial Decision is well reasoned and is, therefore, adopted, as clarified below.:

Id. at *9.

With regard to the determination of the relevant market for purposes of determining the prima facie case of unreasonableness, the Commission went on to conclude that:

The definition of the appropriate market for consideration in this case is implicit in the ALJ's discussion and detailed findings of fact regarding the number of marine terminals in the Port of Baltimore, the degree of competition between All Marine and ITO at the Port, and the market share of each. We concur in his conclusion that "ITO is actually the David while All Marine is the Goliath" and that ITO's practice has "a relatively minor impact on the entire Port ..." I.D. at 46-47.

Id. at *13.

d. The Relevant Market is the Port of Baltimore

Ports America's Opening Briefing does not address the relevant market at all, looking only at APS' Terminal. As in *All Marine*, the relevant market here is likely the Port of Baltimore (something that Ports America unquestionably understands from the *Marine Repair Services* case). Yet Ports America has failed to address the issue at all.

Any preliminary review of the Port of Baltimore reveals that Ports America operates at no less than nine terminals in the Port of Baltimore including (1) Seagirt, (2) Dundalk, (3) Atlantic, (4) Chesapeake, (5) Fairfield, (6) North Locust Point, (7) TradePoint Atlantic, (8) Intermodal Container Transfer Facility, and (9) South Locust Point [RPF No. 1]. Ports America operates

exclusively at Seagirt terminal as the sole stevedore [RPFF No. 2]² and stevedores a wide variety of cargo including container, breakbulk, auto ro/ro, and bulk cargo. [RPFF No. 4] Further still, even if Ports America had been barred from performing auto ro/ro stevedoring at APS' terminal³ (which it has not), Ports America still performs that particular type of stevedoring service at no less than 6 of the Port of Baltimore's terminals, i.e. Dundalk, Fairfield, South Locust Point, Atlantic, Chesapeake, and Tradepoint Atlantic. [RPFF No. 4]

e. The issues raised in the matter have been conclusively determined in earlier precedents

One of the pillars of support upon which the *All Marine* case rested included the fact that ITO was the lessee of the South Locust Point Terminal in the Port of Baltimore, from the Maryland Port Authority. Despite being a lessee of the terminal, the Commission found that ITO's exclusive right to determine who may provide services at the terminal "appears unassailable" and that the relevant market for services was the Port of Baltimore. *Id.* at 13. Here, Ports America admits that APS' terminal is privately owned and operated [RPFF No. 11; Complainant's Brief at pg 5]. In accordance with the Commission's unequivocal conclusion in *All Marine*, APS right to determine who may provide services at its own privately owned terminal must be equally unassailable.

In *All Marine*, the Commission took a look at the degree of intrusiveness of the practice into competition at the Port of Baltimore, finding that the number of facilities available, on top of the lack of degree to which the carrier's choice of marine terminal was affected by the services at issue, rendered the impact on competition minimal. *Id.* Here, Ports America, while finding much

² "Complainant PAC is currently the exclusive provider of the container stevedoring services performed in connection with operating as the marine terminal operator at the Seagirt Marine Terminal pursuant to the Seagirt lease."

³ APS terminal is identified as the Atlantic and Chesapeake terminals, but those terms are used to identify two adjacent parcels that operate as a single terminal.

to complain about with respect to the manner in which APS runs its business, has failed to establish any reason why it could not or does not provide its stevedoring services elsewhere in the Port of Baltimore – indeed, it does provide its stevedoring services almost everywhere else in the Port – which further undercuts any ability on the part of Ports America to reasonably claim that APS is the proximate cause of any of Ports America’s claimed lost business.

Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC, Dkt. No. 11-11, 2013 WL 9808672 (ALJ, Jan. 10. 2013) is also highly instructive on this point, as it dealt with a nearly identical issue to this present matter, just over a decade ago and also involved a review of *All Marine* and *River Parishes*, and also involved PAC – the Complainant in this case, but as the Respondent against legally similar claims in that case.

As in this case, the issue was not the exclusive arrangement itself – notably, in this case Ports America has represented before this ALJ that it does not contest the preferred stevedore arrangement itself (*see* Dkt. 23-04, Doc. 27, March 4, 2024, at Pg. 5). Rather the issue presented was the reasonableness of the preferences and practices that resulted from that arrangement. In accordance with the precedent of *All Marine*, the ALJ noted that:

*...the Commission must first determine the relevant market and then assess the effect of the respondent's practices on competition in that market. If the practices do not have a significant effect on competition, **the respondent need not justify its practices and the inquiry is at an end.** (emphasis added) If there is a significant impact, then the burden shifts to the respondent to justify its practices. The extent of the respondent's burden of justification will depend on the anti-competitive effect of its practices.*

Marine Repair Services, 2013 WL 9808672 at *31.

The ALJ in *Marine Repair Services* concluded the relevant market was the Port of Baltimore and reviewed the impact on the relevant market. The ALJ found that while competition for the relevant services may have shifted in PAC’s favor, it had not been restricted to the extent that an actual or virtual monopoly existed. *Id.* at *34. The ALJ further found that

PAC had the right to “use its leased premises to its own advantage so long as its actions are not unreasonable” and that its subcontractor selection was “a reasonable economic decision.” *Id.* at *36. After review of the evidence, the ALJ found that while PAC had enhanced its competitive position for all of its services in the Port of Baltimore, the “nature of competition is such that gains by one competitor are accompanied by losses to others. The business income lost by [Complainant], while possibly significant, is the result of legitimate competition. Such competition is not prohibited by the Shipping Act.” *Id.* at *39.

Such is the case at issue here. Ports America has completely failed to address, much less establish, the alleged anti-competitive effect of APS’ actions and preferences and as a result, Ports America has failed to raise a sufficient *prima facie* case to require APS to justify its decisions. While Ports America may have lost business as a result of APS’ actions (as alleged, but not proven, as further described below), legitimate competition amongst competitors, such as Ceres and Ports America, is not prohibited under the Shipping Act.

IV. COMMERCIAL DECISIONS ARE ENTITLED TO DEFERENCE

As detailed above, only if Complainants first satisfy their *prima facie* case of unreasonableness, does the burden of production and of justifying its decision pass to the Respondent. It is only if a complainant satisfies its initial burden of establishing more than a minimal impact on competition within the relevant market, does the Commission then move to an assessment of the reasonableness of the respondent’s decisions and actions.

Ports America has not asserted, shown, or proven that APS’ actions had any impact on competition for stevedoring services in the Port of Baltimore, and, therefore the Commission’s inquiry into this matter is at an end.

If notwithstanding the clear precedents compelling the foregoing result, the Commission nevertheless proceeds to consider the reasonableness of APS' commercial decisions, those decisions are to be afforded significant deference. The Commission has provided its guidance with the regard to the considerable deference to be afforded in its assessment of the reasonableness of commercial decisions, holding that that parties are to be afforded "discretion to exercise business judgment." *See, e.g., Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 369, 372 (FMC 2001) ("The Commission is not responsible for ensuring that everybody makes a good deal – just that the commercial environment is not hampered by unreasonable or unjustly discriminatory practices."); *see also Maher v. PANYNJ*, 33 S.R.R. at 853 (noting that the Commission defers to commercial parties' "reasonable, discretionary business decisions," *citing to Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. at 899).

The burden to justify a marine terminal operator's decisions, such as the assessment and quantum of fees, is "not a heavy one" and the Commission shows deference to terminal operators and "will usually not second guess their reasoning. But a port authority must provide its reasoning before any deference can be shown." *Santa Fe Discount Parking v. Board of Trustees*, Dkt. No. 14-06, 3 F.M.C.2d, 59, 74 (FMC, April 16, 2021).

As a private business, APS has the right to determine those with whom it will deal and fix the terms and conditions for access to its private facility. *See, e.g., Perkins v. Lukens Steel Co.*, 310 U.S. 113, 127 (1940) (private individuals enjoy the unrestricted right to determine those with whom they will deal). The Shipping Act does not alter that fundamental business right, provided that decisions are "reasonable economic decision[s]." *See, e.g., Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672 at *36 (ALJ, Jan. 10. 2013) ("[PAC] may use its leased premises to its own advantage so long as its

actions are not unreasonable. Regardless of PAC's motivation, its selection of Multimarine as its subcontractor is a reasonable economic decision.”).

As a marine terminal operator, APS is of course subject to the jurisdiction of the Commission and the applicable regulations of the Shipping Act. However, mere differences in treatment of parties does not violate the Shipping Act. *See, e.g., Petchem, Inc. v. Federal Maritime Commission*, 853 F.2d 958, 963 (D.C. Cir. 1988) (“The Act clearly contemplates the existence of permissible preferences or prejudices.”). Rather, only “undue or unreasonable preferences and prejudices would be violative of the Prohibited Acts.” *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C. 2d, 35 (ALJ, April 17, 2018) (citing *Seacon Terminals, Inc. v. The Port of Seattle*, 26 S.R.R. 886, 900 (FMC 1993)).

The Commission has provided guidance as to what it considers “reasonable”. Reasonable may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable,” or “fit and appropriate to the end in view.” *Distribution Services., Ltd. v. Trans-Pacific Freight Conference of Japan and its Member Lines*, 1988 WL 340659, at *6 (F.M.C. 1988) (citing *Port of San Diego*, 9 F.M.C. at 547)). Accordingly, a just and reasonable practice means a practice, otherwise lawful but not excessive and which is fit and appropriate to the end in view. *Id., accord River Parishes Company, Inc. v. Ormet Primary Aluminum Corp.*, 1999 WL 125991 at *24 (citing *West Gulf Maritime Ass’n v. Port of Houston Auth.*, 21 F.M.C. 244, 18 S.R.R. 783 (1978)).

Here, APS announced and sought to implement an exclusive or preferred stevedoring provider system at its privately owned and operated facilities, the Atlantic and Chesapeake Terminals [RPFF No. 13]. It did so for the purpose of improving the efficiency of operations,

generating revenue at its terminal, and providing resources for maintenance and improvements. [RPFF No. 12] It decided to provide a means for non-preferred stevedores to continue to engage in commercial activities at the terminals, while recognizing the added risks and impediments presented by the presence on the terminals of a non-preferred stevedore working under the general tariff rather than an expressly negotiated agreement.

V. DISCUSSION OF COUNT I⁴ - Alleged Violations of 46 U.S.C. § 41106(2): Unreasonable Preference, Prejudice, or Disadvantage.

With respect to Count I of the Complaint, Ports America alleges an unreasonable preference or prejudice with respect to the selection of Ceres as its preferred stevedoring partner at its Atlantic and Chesapeake terminals.

As set forth in detail above, before shifting the burden to Respondent to justify its commercial decisions and actions, Complainants must have satisfied their *prima facie* case by establishing an impact on competition within the relevant market, and as explained above, Ports America has not done so.

Complainants have not established the relevant market or provided any evidence at all with respect to the impact of APS' actions on that market. As discussed above, the relevant market in legally identical cases has been held by the Commission to be the Port of Baltimore, and not one isolated terminal and Ports America has provided no proofs to warrant a different result here. As in the *Marine Repair Services* case, where the complainant has not been excluded from competition in the relevant market, it cannot establish its *prima facie* case.

⁴ Ports America, in its Complaint, initially alleged violations of the Shipping Act as follows: Count I – 46 U.S.C. § 41106(2) (unreasonable preference, prejudice or disadvantage), Count II – 46 U.S.C. § 41102(c) (unreasonable practices), and Count III – 46 U.S.C. § 41106(3) (unreasonable refusal to deal). Ports America's Opening Brief (Doc. 32) has altered the order of those Counts, first dealing with Count II, then Count I, followed by Count III. Respondent will respond in accordance with the order put forth in the Complaint for the convenience of the Commission.

Accordingly, under well-established precedents, APS should not be required to justify its stevedoring preference, and “the inquiry is at an end.” *See, e.g., All Marine Moorings, Inc. v. Ito Corp. of Baltimore*, 1996 WL 264720, at *10; *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, 2013 WL 9808672 at *31, Docket No. 11-11 (ALJ, Jan. 10, 2013).

If, after assessing the issue of the impact on the relevant market, the Commission nonetheless finds itself compelled to go further to examine the issue of whether Ports America has demonstrated an unreasonable preference or prejudice, it will find that it has failed to do so.

Specifically, a claim for undue or unreasonable preference, prejudice, or disadvantage under 46 U.S.C. §41106(2) is composed of four elements as follow: (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.” *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, Dkt. No. 94-01, 1997 WL 35281266 *31 (FMC, Oct. 10, 1997) (citing *Distribution Services, Ltd. v. Transpacific Freight Conference of Japan*, 24 S.R.R. 714, 720 (1988)).

APS does not contest that Ports America and Ceres are in a competitive relationship with respect to the provision of stevedoring services. However, with respect to second element, APS has established that Ports America was given consideration for inclusion in the bidding for an RFQ, alongside Ceres. [RPFF No. 14] However, Ports America was ultimately not included in the RFQ as it was determined that Ports America would not be a suitable partner for APS in its stevedoring operations for reasons of efficiency and safety concerns. [RPFF No. 16]

Ports America asserts that its record is “world-class” but that blanket assertion is unclear with respect to whether that record is for the whole of Ports America, or focused on a specific

port or terminal. Further, the “world-class” assertion is not APS’ lived experience with respect to Ports America on its terminal. [See Molyneaux CX_00830-833; See Taylor CX_00597, CX_00642-643]

The parties agree that the “QCHAT” meetings are attended by the Maryland Port administration and involve industry stake holders, including APS, Ports America, Ceres, and the local ILA. [CPFF No. 54 & 55] Ports America confirms that it shared its safety information in those QCHAT meetings and APS attended those meetings, along with its Port of Baltimore industry members. Accordingly, Ports America’s safety record was known in the Port of Baltimore. [RPFF No. 45]

Ports America asserts that Mr. Buben should have followed up with respect to Ports America’s safety record, but cites no authority for this assertion and refuses to grapple with the fact that APS did not find it necessary due to its understanding of the safety records from its invited bidders because those safety records were known and available to QCHAT attendees, of which APS was one. [RPFF No. 45]

With respect to the third component and the transportation factor justification, ironically, Ports America’s argument mirrors the same argument made by Marine Services repair in its earlier case against Complainant PAC concerning similar issues, and that argument falls just as flat here. Marine Services argued that:

PAC contends that it chose Multimarine as its subcontractor because of its superior quality of work and better safety record as compared to that of MRS. According to MRS, the stated reasons are no more than a contrived rationale by PAC in an attempt to justify an unreasonable preference for Multimarine. PAC's stated reasons for choosing Multimarine may be, as MRS suggests, an afterthought ... Even if that were so, PAC has no duty to facilitate MRS's efforts to obtain M&R work from ocean carriers calling at Seagirt. It may use its leased premises to its own advantage so long as its actions are not unreasonable. Regardless of PAC's motivation, its selection of Multimarine as its subcontractor is a reasonable economic decision.

Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC, 2013 WL 9808672 at *36, Docket No. 11-11 (ALJ, Jan. 10, 2013).

The difference in treatment of which Ports America complains is justified by reasonable considerations. APS has been clear about its objective with respect to instituting a preferred stevedoring program at its Atlantic and Chesapeake Terminals for the purpose of increase its efficiency, safety, and profitability. [RPFF No. 46] It was common knowledge on the terminal that Ceres was a more efficient stevedore [RPFF No. 47]. Further, the advancement of a terminal's economic wellbeing is a well-established valid transportation factor. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, Dkt. No. 08-03, Pg. 8 (FMC, October 26, 2016). Accordingly, any difference of treatment alleged by Ports America, was a reasonable exercise of APS' business judgment which is entitled to deference.

With respect to the fourth element, the simple fact of the matter is that Ports America has not paid APS the fees which are owed under the tariff and has not established its damages. Ports America has not established why or whether it was unable to take its business to a separate terminal in the Port of Baltimore. Likewise, as Ports America has admitted that it neither collected nor paid the assessed fees, Ports America has failed to show that the stevedoring arrangement at APS' terminals was the cause of any loss of business to Ports America, as opposed to other factors, such as Ports America's lesser safety and efficiency compared to Ceres.

In short, Ports America has not established its alleged damages with respect to the alleged violation of 46 U.S.C. § 41106(2). Ports America does not and cannot point to any evidence that the alleged unreasonable preference or prejudice against Ports America resulted in any damages or loss.

Accordingly, even in the event that the Commission were to find that Ports America had made its *prima facie* case and the burden of production had shifted to Respondents, Respondents have shown their actions to be reasonable in accordance with the Shipping Act. APS has established that the parties were not initially accorded different treatment and that the subsequent different outcomes were the result of a reasoned evaluation process and business judgment based upon the consideration of reasonable factors including safety and efficiency. Just as with PAC in the *Marine Repair Services* case, in this case APS “has no duty to facilitate [PAC’s] efforts to obtain [stevedoring] work from ocean carriers calling at [its terminal].” As the Commission has repeatedly held, a terminal owner may use its own premises to its own advantage so long as its actions are not unreasonable. Regardless of APS’s motivation, its selection of Ceres as the preferred stevedore was a reasonable economic decision.

Further, any alleged prejudice or disadvantage did not result in, nor was the proximate cause of, any injury. Thus, Ports America’s allegations of violations of the Shipping Act under 46 U.S.C. §41106(2) fail.

VI. DISCUSSION OF COUNT II – Alleged Violations of 46 U.S.C. §41102(c) Unreasonable Practices

a. Allegations concerning the access fees charged for non-preferred stevedores

In Count II of the Complaint, Ports America alleges that APS, as a marine terminal operator, has failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing, or delivery of property.

As noted in above, prior to shifting the burden of justifying its actions to Respondent, Complainants must first establish their *prima facie* case of unreasonableness with respect to the \$25 access fee by showing a material impact on competition within the relevant market.

As above, Complainants have not established the relevant market or provided any evidence at all that APS' decisions and actions in setting an access fee for use of the terminals by stevedoring entities had an impact on competition within the relevant market. Accordingly, APS does not need to justify its stevedoring preference decisions, and "the inquiry is at an end." *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, 2013 WL 9808672 at *31, Docket No. 11-11 (ALJ, Jan. 10, 2013).

Should the Commission nonetheless entertain the notion that Ports America has satisfied its burden with respect to the relevant market and the required market impact, APS notes that the practice "must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view." *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, at *38 (FMC Oct. 10, 1997) (citing *West Gulf Maritime Ass'n v. Port of Houston*, Dkt. No. 75-21, 21 FMC 244, 248 (FMC Aug. 16, 1978)).

To start, the law is clear that APS is fully within its rights to impose a fee for the use of its private facility; and as a private business, APS has the power to determine those with whom it will deal and fix the terms and conditions for access to its private facility. *See, e.g., Perkins v. Lukens Steel Co.*, 310 U.S. 113, 127 (1940); *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672 at *36 (ALJ, Jan. 10, 2013).

Those rights include the right to implement a reasonable access fee for the right to access and use its facilities, even if that fee is \$25 per unit. [RPFF Nos. 50 & 51] Here it bears repeating that the permission granted by APS for non-preferred stevedores to access APS' terminals at all stands in stark contrast to Ports America's own position at Seagirt Terminal. At Seagirt, Ports America Chesapeake is the only entity that is permitted to provide stevedoring

services at that facility – period. Competing stevedores may not access that facility at all, at any price. [RPFF No. 2; CX_00927-928; CX_01072-1073].

Ports America’s arguments in this matter are directly contradictory to its own actions at its controlled terminals, and its positions in the prior Commission matters cited above. Its contrary contentions in this matter with regard to APS’ efforts to accommodate Ports America and its vessel customers notwithstanding, the preferred stevedore program is evidence that “no good deed goes unpunished.”

As an initial matter, Ports America does not seriously dispute that a terminal owner may lawfully charge a fee for access to its privately owned facilities. Rather, Ports America disputes the amount of the fee charged.

With respect to whether the \$25 fee imposed on non-preferred stevedores is reasonable and fit and related to the ends in view, the clear fact is that APS was attempting to implement a preferred stevedore model at its terminal and the \$25 per unit fee was intended to assist in achieving that goal. [RPFF Nos. 46 & 52] Ultimately, any stevedore selected by a vessel choosing to call at APS still had access to APS’ Baltimore terminals, at a higher charge.

That higher charge reflected the consideration given by the preferred stevedore to the terminal in exchange for the reduced per-unit rate. The preferred stevedoring agreement into which APS entered with Ceres provided for agreed insurance and indemnification provisions, as well as an efficient and bargained-for dispute resolution clause between the parties. The use of that dispute resolution procedure to resolve disputes between Ceres and APS outside of litigation, as contrasted with the expenses and burdens as evidenced by this very matter, are clear evidence of the value of the contractual provision. [RPFF Nos. 50 & 51] As one piece of evidence of the value of the preferred stevedore arrangement, the terminal was able to collect the per unit fees

from Ceres in an efficient manner without the need to resort to burdensome enforcement measures under the tariff. [RPFF No. 43]

As Jake Brown noted in his deposition, “we had never been sued by a stevedore before. Would be very hard to estimate that cost” [CX_00285], however the funds spent defending this action reflect the hard reality that those costs are hardly illusory, as alleged by Ports America, and the agreement reached between APS and Ceres reflects sound business judgment in accounting for these business risks and added costs attributable to toleration of non-preferred stevedores at the APS terminals.

As for Ports America’s argument regarding the tariff construction with regard to the fees imposed under the (now-superseded) tariff provisions of which PA complains, assessing a \$25 fee, the previous tariff imposed that fee on “customers,” who were defined as follows:

CUSTOMER shall mean any vessel, vessel owner, carrier, agent, vessel operator, vehicle, conveyance, consignor, consignee, beneficial Cargo owner, person, Cargo, equipment, chassis, or any other person or entity, including but not limited to the agents, other providers, and other subcontractors (at any level) of any of the foregoing, that uses the Terminal facilities or is provided with, benefits from, or receives any services whatsoever from the Terminal Operator, or any person or business entity who owns or claims an interest in, right to, attachment, or lien regarding any vessel, vessel equipment, equipment, or Cargo.

Tariff Rule 34-3.

It is true that the section concerning the exclusive stevedore arrangement referred to “recipients of Ro/ro unloading services (“Customer”), and stated that they would be able to use their current partnership with a non-preferred stevedoring company by paying a \$25 per unit fee. Tariff Rule 34-2(a)(2)(iii). When contacted by Ports America for clarification, APS conceded that the language may have been originally unclear and required clarification, and then provided the clarification directly, in writing, not later than March 31, 2023 in clear and unambiguous language. [RPFF Nos. 48, 49, & 53] That language stated as follows: “We think it important to

advise upfront that the \$25/unit fee is a charge that will be assessed to any unlicensed stevedore company for access to AMPORTS' facilities and it is not a charge payable by our carrier customers." [RPFF No. 54].

Ports America confirmed their clear understanding of the assessment of the fee on stevedores in their letter to at least two clients when it confirmed that APS intended to continue seeking the \$25 per unit fee for stevedoring of vehicles by non-preferred stevedores and that Ports America would, as a result, be required to pay the fee and that if the client did not accept the pass through charge, Ports America would not be able to perform stevedoring operations at the Atlantic or Chesapeake terminals. [RPFF No. 55] Of course, Ports America retained the ability to encourage its customers to use one of the several other Ro/ro terminals available in the Port of Baltimore. However, Ports America did not (i) decline stevedoring work at the APS terminals, (ii) pass through the fees, (iii) pay the fees, or (iv) send their customers elsewhere. Instead, by not passing through the fees or paying them directly, Ports America has operated at a competitive *advantage* in comparison to Ceres, which did pay the fees. [RPFF Nos. 37, 38, 39, 40, 41, 42, 43]

b. Allegations concerning the updated "universal" access fees charged for stevedores engaging in commercial activities on the terminals

In its Brief, Ports America raises a new argument, beyond the scope of its Complaint, contending that revisions to the APS Tariff implementing a new, universal \$10 per unit fee on all stevedores operating on the APS terminal is also unreasonable, and further complaining about an alleged lack of notice. However, 46 C.F.R. §525.3(e) provides that a terminal's tariff is enforceable by an appropriate court as an implied contract without any requirement of proof of actual knowledge of its provisions.

In this case, Ports America was on notice since March 31, 2023 that it was responsible for payment of a \$25 per unit fee so its argument that this charge falls on “stevedores that have never been subject to any charge under the AMPORTS Schedule” is simply false. [RPFF No. 33] Further, Ports America acknowledges the lack of any notice requirement for marine terminal tariffs, further illustrating that Ports America’s position with respect to the \$10 fee being unreasonable is without merit or substance. [Complainants’ Brief at Pg 27-28].

The facts are straightforward and the decisions made by APS were reasonable. In light of the controversy and confusion engendered by Ports America in this instant proceeding, and as a result of further analysis of the stevedoring arrangements at its terminals, APS decided to terminate the preferred stevedore arrangement and implement a universal \$10 per unit fee applicable to all stevedores operating on its terminals, eliminating thereby any basis for any one stevedore, whether a small business or an industry “Goliath” such as Ports America, to complain about allegedly disparate treatment. APS further implemented the previously negotiated requirements applicable to the preferred stevedore as a condition of entry for all stevedores seeking to engage in business on APS’s owned terminal; a reasonable business decision.

In its brief, Ports America nevertheless complains about this patently fair and equal treatment. For Ports America to complain about the cessation of the preferred stevedore program in the context of the proceeding in which its Complaint was made to expressly challenge that program, exposes the true purpose of its Complaint – not to address any actual non-competitive situation, but rather to abuse the Commission’s process for its own anti-competitive purposes.

VII. DISCUSSION OF COUNT III – Allegation of Unreasonable Refusal to Deal (46 U.S.C. § 41106(3))

Section 41106(3) of the Shipping Act states that a marine terminal operator may not “unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41106(3). Such an allegation requires a two-part inquiry: (1) whether respondent refused to deal or negotiate, and, if so, (2) whether its refusal was unreasonable. *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, 1 F.M.C.2d 29, 40, Docket No. 17-07 (ALJ, April 17, 2018) (citations omitted). The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms.

Only when a terminal operator is shown to have refused to negotiate or consider a *bona fide* offer from an offeror without justification has the Commission found a violation. *Canaveral Port Auth. - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436 (2003). In the *Canaveral* case, the Commission found an unreasonable refusal to deal where the Port refused to consider a second application submitted by a tug company for a tug franchise without good cause. That is clearly not the case here and no alleged facts support Complainants’ contention.

First and most importantly, APS did not refuse a proposal from Ports America, nor did APS shut out Ports America from consideration. [RPFF No. 14]. While Ports America did not receive an RFQ, it was initially considered for inclusion but deemed not to be a suitable long-term partner for APS. [RPFF No. 16]

Once Ports America raised the issue of its failure to receive an RFQ, APS assured Ports America that it would be included in the next Request for Quote round and invited Ports America to submit safety and efficiency records, for review by APS for future evaluations. [RPFF No. 35] Ports America declined to do so. Rather, Ports America ignored APS’s invitation to participate in an evaluation, and rejected APS’s right to establish a preferred stevedore program or assess a fee

on the use of its terminals by stevedores. [RPF No. 44] Ports America then instituted the present proceeding. Accordingly, Complainants have failed to establish that it took any meaningful steps to actually pursue an opportunity to be the preferred stevedores at Respondent's terminals.

Ports America's argument that an unreasonable refusal to deal means the failure to include the Complainant in the initial RFQ round has no basis in the law. Complainants may wish for a such a ruling, but the result would be that no terminal would be permitted to do any business without the inclusion of every entity that may provide a particular service. Clearly that model would yield absurd results.

Second, even in the event that a hypothetical initial failure to consider Ports America would be deemed to be an unreasonable refusal to deal, such a hypothetical would not apply under the facts of this case, because Ports America was initially considered as a potential stevedoring partner. However, its reputation was such that APS' decision not to proceed with providing Ports America an RFQ was a commercially reasonable one.

APS's determination that Ports America's reputation with respect to safety in the Port of Baltimore, as well as Ports America's issues on the terminal, rendered Ports America unfit as a long-term port partner, was not groundless or unreasonable. Further, as Complainants acknowledge, there are no requirements for terminals to conduct a competitive bidding process.

Rather, Ports America is simply unhappy, complaining that because APS did not include Ports America in the final round of selection, the process must have been unreasonable, noting that APS "should still have inquired with Ports America and should have included Ports America in the invitation to bid". Complainants' Brief at 58. Such a viewpoint belies the thinking that Ports America must always be afforded the opportunity to bid for whatever business it desires.

In fact, APS attempted to work with Complainants at every step and in fact invited additional discussions between the parties, but Ports America failed to meet those overtures or engage in meaningful discussions. [RPFF Nos. 35 & 44] Indeed, APS went beyond reasonable steps to engage proactively with Ports America, without any meaningful engagement from Ports America in response. Ports America's conduct exposes its Count III as mere pretext.

Complainants have utterly failed to support its allegations that APS refused to deal or negotiate with Complainants and as a result, Ports America's allegations of violations of the Shipping Act under 46 U.S.C. §41106(3) fail.

VIII. DISCUSSION OF PORTS AMERICA'S CLAIM OF CAUSATION AND INJURY

a. The Commission does not have jurisdiction over Ports America's Claim for Lost Business

The U.S. Supreme Court has recently held that the "Constitution prohibits Congress from withdrawing from judicial cognizance any matter which, from its nature, is the subject of a suit at the common law." *Sec. & Exch. Comm'n v. Jarkesy*, 144 S. Ct. 2117, 2131 (2024). The Court further held that such matters "may not be removed from Article III courts." *Id.* at 2132. The Court also ruled that its precedents have held that "where the action involves rights and remedies recognized at common law, it must preserve to parties their right to a jury trial" under the Seventh Amendment to the Constitution. *Id.* at 2138.

Ports America's claim for damages is patently a common law claim for alleged interference with business activities. Such suits have long been recognized in the common law. One need only review the Restatement (Second) of Torts, which outlines the requirements for tortious interference with business or contractual relationships, to realize that Ports America's claim for lost business, while framed as "reparations", is the exact type of suit at common law to which the Supreme Court was referring when it articulated that the importance of judicial

cognizance and the separation of powers. *See, e.g.*, RESTATEMENT (SECOND) OF TORTS, Division 9, Chap. 37. (1979).

While the holding in *Jarkesy* is recent, *Mavl Capital Inc. Et Al., Complainants, v. Marine Transport Logistics, Inc. Et Al., Respondents* highlighted that the type of reparation claims that are typically, and presumably more Constitutionally, within the Commission’s authority are claims that “involve lost or damaged cargo, and the Commission bases reparations either on the cargo market price or the invoice price paid by the complainant.” 2022 WL 2209421, at *3.

Here, Ports America has not suffered an “actual injury” amenable to Commission-ordered “reparations.” Ports America has not paid the Access Fee of which they complain. [RPFF No. 42]

Rather, Ports America’s claim is for “loss of future business” [Complaint, Doc. No. 01 at ¶75] and its alleged damage calculations presumably flow from a future expected level of cargo traffic, combined with an expected percentage of that business, in a static market where they are not required to pay an access fee. If Ports America wishes to bring its claim outside of the Federal Maritime Commission, however groundless and unproven, the tort of intentional interference with contract is well established in Maryland. *See, e.g., Macklin v. Robert Logan Assocs.*, 334 Md. 287, 296–98 (1994).

But, as for this proceeding, such a claim cannot Constitutionally be brought for adjudication by the Commission, for the reasons spelled out by the Court in *Jarkesy*.

b. Applicable Law of Reparations

In the event that Complainants’ claim for damages are assessed to be within the jurisdiction of the Commission, Complainants bear the burden of proving entitlement to reparations and the Shipping Act authorizes an award of reparations only when the Complainants

have proven “actual injury caused by a violation of [the Shipping Act].” 46 U.S.C. § 41305(b); *Kobel v. Hapag-Lloyd*, Dkt. No. 10-06, 2014 WL 25316331, at *13 (FMC July 30, 2014) (“Complainants have the burden of proving entitlement to reparations”); *see also MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 3 F.M.C. 2d 135, 166 (I.D. on Remand by Judge Wirth 2021), *aff’d*.

As the Federal Maritime Board explained in 1950: “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, Dkt. No. 94-32, Doc. 168, pg. 16, (FMC, August 26, 2003) (citing *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (1950)).

In the *James J. Flanagan* case, Flanagan complained that an unlawful switching charge caused it to lose business, and that the loss of business it experienced was attributable entirely to that allegedly illegal charge. *Id.* at pg. 6. In analyzing the claim, the Commission focused on the fee and the proof necessary to show it was the fee itself that caused the Complainant to lose business. A decline in revenues and market share alone was not proof of the cause of such decline. *Id.* at 20-21. The Commission found that Flanagan’s year-to-year comparison did not account for other variables such as “productivity, quality of service, overtime cost containment, etc. that affect customers’ choice of stevedores,” and the lack of an independent or expert analysis of the proposed methodology was deemed questionable. *Id.* at 21-22.

Additionally, the Commission noted that Flanagan’s assumption that 1994 was a valid starting point for the assessment of its losses was convincing only to the extent that competitive

market forces are static and permit reliable extrapolation from one year to the next, which cannot be assumed as markets can be volatile. *Id.* at 22.

c. Analysis of Ports America's Claim of Lost Business

In the event that Complainants' claim for damages are assessed to be within the jurisdiction of the Commission, Ports America has failed to establish that its claimed damages occurred as a result of the \$25 access fee. Ports America points to its lost business estimates as proof, but this tribunal has no basis for considering those estimates as evidence. The estimates were only provided at the close of discovery, and even so, were not authenticated, or indeed supported in any way to establish any credibility.

APS requested that Ports America provide a basis for its claim of damages in APS' initial Motion to Dismiss, its discovery requests, and its Motion to Compel Discovery. Nevertheless, Ports America only provided its unsupported anonymous estimates at 9:34 pm the evening before the 10:00 am deposition of Ports America's final witness, Mark Schmidt, i.e. just over 12 hours before the final deposition between the parties. [RPFF No. 58] Ports America's blithe assertion that "information and calculations were made available to counsel in this proceeding" is a rather brazen stretching of the truth, and its note that "counsel had an opportunity to depose knowledgeable witnesses on the subject" is patently untrue. The sole witness who had the opportunity to testify with respect to the alleged damages was Mr. Schmidt, the corporate representative for Ports America Chesapeake. Mr. Schmidt has been with Ports America Chesapeake for over 30 years (CX_01060), and has no basis upon which to testify for MTCE's alleged damages.

Regardless, Ports America's claim for damages is based solely on those estimates, but the estimates are not authenticated, verified, signed, or authenticated by any person with knowledge.

They are simply numbers on a page, not attributed to, or verified by, any person with knowledge.
[RPFF No. 59]

Mr. Schmidt testified as the corporate representative of Ports America Chesapeake, not MTCE. He testified that he did not prepare the estimates of lost profits, could only guess as to who did, was unaware of how the estimates or calculations were arrived at, and had no idea what went into the creation of Ports America's lost profit numbers. [RPFF No. 60] Further, even if Ports America's estimates had any basis of credibility for accuracy, Ports America has provided no reliable methodology to trace its claimed loss of business to the complained-off access fee. Ports America has not provided any independent or expert testimony to support its claim of lost profits through analysis of other market factors as required to show causation. See, *James J. Flanagan*, supra at pp 21-22.

This is not a mere technicality of a rule of evidence, but shows that the estimates are so lacking in any basis of credibility that they cannot be relied upon to establish Ports America's claim. Rather, it establishes that Ports America has no credible basis for its claim.

As is well-known, the purpose of authentication rules as set out in the Federal Rules of Evidence is to establish an evidentiary basis for the finder of fact to make a determination that an item of evidence is what the proponent claims it to be. Federal Rule of Evidence 901(b) provides a list of examples of ways that a document, such as a calculation of damage, may be authenticated. The example relevant here is the testimony of a witness with knowledge. Fed. R. Evid. 901(b)(1). However, Ports America did not proffer any witness with knowledge of the creation of the documentation on which it relies to establish its claim for loss of business.

Likewise, the Federal Rules of Evidence exclude hearsay evidence, except in circumstances providing guarantees of trustworthiness. Fed. R. Evid. Art. VIII, Refs & Annos.

While the Rules of Evidence allow exceptions for certain records, those exceptions are all based on circumstantial guarantees of trustworthiness sufficient to justify the non-production of the declarant in person. Fed. R. Evid. 803, Advisory Comm. Notes (1972 rev.). In this case, even the identity of the declarant is unknown. So while the Commission's Rules of Practice and Procedure do not require the application of the Federal Rules of Civil Procedure, they do require that evidence be, among other things, reliable and probative. Rule 204(a), 46 CFR § 502.204(a). They further provide that the presiding officer may consider the Federal Rules of Evidence for guidance. *Id.* Doing so in this instance is appropriate; Ports America's mystery estimates cannot be relied upon in this proceeding.

Moreover, even if the document itself could be received, notwithstanding its lack of any identified source or basis, and notwithstanding its extremely late production, Ports America has not provided any basis for its assumption that its reliance on 2019 was a valid baseline year – the same logical flaw highlighted by the Commission in *James J. Flanagan, supra* at 22. That is particularly pertinent with regard to the impact on cargo volumes during the COVID-19 pandemic, the concurrent impact of computer chip shortages on vehicle manufacturing, and the collapse of the Francis Scott Key Bridge which halted all traffic into and out of the Port of Baltimore (excepting Tradepoint Atlantic).

Ports America, in footnote 14 of its Brief, claims it has business insurance coverage – not previously disclosed, provided, or discussed – and which allegedly covered loss of revenue attributable to the closure of the Port of Baltimore due to the Key Bridge collapse, and asserts that its loss of business during that period of time when the Port of Baltimore was closed was somehow caused by the access fee, even though that fee could not have been assessed during that period. Yet Ports America again provides no analysis to support its speculative claim.

Interestingly, while Ports America's carrier customers were unable to access the Baltimore terminals as a result of the Francis Scott Key Bridge collapse, Ports America worked with its customers, who were able to divert to Norfolk (VA), Wilmington (DE), Camden (NJ), Newark (NJ), and Jersey City (NJ); locations where Ports America advertises that it operates its stevedoring business [RPFF No. 61, 62, & 63].

Accordingly, Ports America has utterly failed to provide any foundation for the assertion of its lost profits and provided neither APS nor this tribunal any meaningful way to evaluate or confirm its figures.

Similarly, Ports America has failed to provide any analysis or accounting for any implied inability to simply direct its vessel customers to one of the many alternative terminals in the Port of Baltimore, or along the East Coast, including those at which it may be the sole stevedoring franchise.

Ports America further fails to acknowledge the fact that it neither passed through, nor paid to date any amount in access fees [RPFF No. 42]. As an initial matter, this means that Ports America cannot claim the assessment of the \$25 per unit fee as a proximate cause of its losses because the simple fact of the matter of fact is that Ports America has never paid the fee. [RPFF No. 42] Further, this means that while Ceres, as the preferred stevedore, has paid the entirety of its outstanding balance of per-unit access fees, Ports America has continued to operate without paying any such fee, or presumably budgeting for any such access fee. This indicates that Ports America was actually operating at a competitive advantage over Ceres at APS' Baltimore terminals, since Ceres budgeted for, and has paid, the assessed access fee. [RPFF No. 43] Accordingly, any loss of business cannot be attributed to the \$25 per unit fee assessment.

Indeed, had Ports America timely proffered any independent expert analysis of its claim of lost business, that expert would need to have addressed the fact that Ports America did not pay, pass through, or apparently budget for the access fee. Further, such an expert would necessarily have needed to consider the impact of the very concerns that led APS to reject Ports America at the outset, including its unfavorable safety and efficiency reputation in the Port.

In any event, Ports America cannot point to any independent analysis or review of its damages, and Respondent had no opportunity to question any knowledgeable witnesses regarding the analysis or procedure that went into the calculations of lost business. Accordingly, neither PAC nor MTCE has established any actual injury, nor established that APS' preferred fee was the proximate cause of such alleged injury.

Thus, even in the event that the Commission were to find that Ports America had made its *prima facie* case and the burden of production had shifted to Respondents, Respondents have shown their practices to be reasonable in accordance with the Shipping Act by showing that they are "otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view." *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, at *38 (FMC Oct. 10, 1997) (citing *West Gulf Maritime Ass'n v. Port of Houston*, Dkt. No. 75-21, 21 FMC 244, 248 (FMC Aug. 16, 1978)). Further, Ports America has not paid any amount of the assessed access fee, nor properly authenticated or established its lost business amounts sufficient to satisfy its claim for reparations. As a result, Ports America's allegations of violations of the Shipping Act under 46 U.S.C. §41102(c) fail.

IX. CONCLUSION

Complainants have failed to establish the relevant market, or that APS's actions had any impact whatsoever on the relevant market, consisting of the broader Port of Baltimore region, as has been held in multiple prior proceedings. Accordingly, Ports America's case must fail, and the Commission's inquiry should end, under well-established Commission precedents, as approved by the Courts of Appeal.

Should the Commission – notwithstanding its own precedents and the relevant judicial determinations requiring a complainant to first establish a *prima facie* case before shifting the burden of justifying its action to a respondent – decide to require APS to establish its justifications, the foregoing arguments and evidence are more than sufficient to demonstrate that APS' actions were reasonable and not in violation of the Shipping Act.

Simply put, Ports America has failed to show that the practices of APS were other than reasonable, or that Ports America was unfairly prejudiced by sanctionable conduct. Rather, Ports America, as the largest terminal operator in North America as noted by the Commissioners Carl Bentzel and Louis Sola in their letter to Sec. Janet Yellen on November 12, 2021, is simply using its size and heavy handed litigation tactics, to misuse the Commission's adjudication procedure in an attempt to bully a small terminal into providing it with every possible competitive advantage and to direct the actions of a private enterprise to its own anti-competitive ends.

The Shipping Act does not permit, and the Commission should not allow, market leaders to misuse the Commission's procedures to second guess the business decisions of a privately-owned terminal operating in a competitive market, compel a privately-owned terminal to provide free access for commercial activities, dictate with whom a privately-owned terminal may do business, or to otherwise dictate the tariff decisions of a privately-owned terminal, particularly

when, as in the instant case, such Complainants have failed to make even a *prima facie* case of unreasonableness under the Commission's precedents.

For the foregoing reasons, Respondent APS East Coast, Inc. respectfully request that Complainant be denied its requested relief, articulated in such a way that prevents the further abuse of the Commission's docket by market leaders seeking competitive advantage, and granting all such other and further relief as may be just and proper.

Dated: July 19, 2024

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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